

Canadian side hustle tax checklist

A one-stop, printable checklist of the CRA rules most side hustlers in Canada run into: record keeping, Form T2125, deduction categories, the \$30,000 GST/HST small supplier threshold, setting money aside, CPP on self-employment income, instalments, and key dates. Every rule links to its canada.ca source.

Checked against canada.ca on October 4, 2026. Rates and dates change every year; confirm on the linked page before you rely on a number. This is not tax, legal, or accounting advice.

1. Record keeping

- ☐ Record every payment you receive with its date, amount, and source, whether it came by cash, e-transfer, or an app. [1]
- ☐ Keep the original documents: sales invoices, receipts, bank deposit slips, fee statements, and contracts. [1]
- ☐ Keep separate records for each business you run. [1]
- ☐ Keep records and supporting documents for at least six years from the end of the last tax year they relate to. [2]
- ☐ If you drive for the business, keep a logbook of each business trip (date, destination, purpose, kilometres) and record the odometer at the start and end of the year. [3]
- ☐ Know that certain selling, rental, and gig platforms must collect information on certain sellers and report it to the CRA every year. Keep your own records anyway. [4]

2. Report the income on Form T2125

- ☐ Report self-employment (business or professional) income and expenses on Form T2125 with your income tax return. [5]
- ☐ Enter only the business part of any expense that is partly personal; personal expenses are not deductible. [6]

3. Deduction categories to track

- ☐ Claim reasonable current expenses you incur to earn the income. Capital purchases (equipment, a vehicle) are claimed over time as capital cost allowance (CCA), not all at once. [6]
- ☐ Sort receipts into the T2125 expense lines, for example: advertising; meals and entertainment (allowable part only); insurance; interest and bank charges; business taxes, licences, and memberships; office expenses; office stationery and supplies; professional fees; rent; repairs and maintenance; travel; utilities; fuel (not motor vehicles); delivery, freight, and express; motor vehicle expenses; CCA; and other expenses. [7]
- ☐ Business-use-of-home: deductible only if the space is your principal place of business, or used only for the business and regularly to meet clients. Claim a reasonable share, such as workspace area divided by total home area. [8]

4. GST/HST and the \$30,000 small supplier threshold

- ☐ Add up your worldwide taxable supplies (revenue before expenses, from all your businesses and your associates) each calendar quarter. [9]
- ☐ If you do not exceed \$30,000 over four consecutive calendar quarters, you are a small supplier and do not have to register (you may register voluntarily). [9]
- ☐ If you exceed \$30,000 in a single calendar quarter, register and start charging GST/HST on the supply that made you exceed it. [9]

- ☐ If you exceed \$30,000 over four consecutive quarters (but not in one quarter), you stop being a small supplier at the end of the month after that quarter and must register. [9]
- ☐ Self-employed taxi and commercial ride-sharing drivers must register for GST/HST even if they are small suppliers. [10]
- ☐ Annual GST/HST filers who are self-employed with a December 31 year-end: for 2025, payment was due April 30, 2026 and the return by June 15, 2026. [11]

5. Set money aside for tax

- ☐ Expect no tax withheld from self-employment income. The CRA notes the self-employed may have to pay tax by instalments. [12]
- ☐ Set aside for federal plus provincial or territorial income tax at your bracket. Federal rates for 2026 start at 14% on the first \$58,523 of taxable income; your province applies its own rates on top. [13]
- ☐ Set aside for CPP on your net self-employment income as well (section 6), and, if you are registered, the GST/HST you collect, which is not your income. [14][9]

6. CPP on self-employment income

- ☐ Outside Quebec, self-employed people pay the full CPP contribution (both the employee and employer share): 11.9% of net business income above the \$3,500 basic exemption. [14]
- ☐ 2026 maximum base contribution for the self-employed: \$8,460.90. Earnings between \$74,600 and \$85,000 also attract the second additional contribution at 8% (maximum \$832). [14]
- ☐ Calculate the amount on Schedule 8 (or Form RC381) for line 42100. Quebec residents pay QPP through their Revenu Québec return instead. [15]

7. Tax instalments

- ☐ You must pay 2026 instalments if your net tax owing is more than \$3,000 (\$1,800 in Quebec) in 2026 and was also more than that in either 2025 or 2024. [12]
- ☐ Instalments are due March 15, June 15, September 15, and December 15. [16]
- ☐ Watch for CRA instalment reminders: a February reminder covers March and June, and an August reminder covers September and December. [12]

8. Key dates

- ☐ December 15, 2026: last 2026 instalment, if you pay instalments. [16]
- ☐ December 31: your province or territory of residence on this date sets your provincial tax rates and instalment threshold. [13][12]
- ☐ April 30: pay any balance owing. For the 2025 return this was April 30, 2026; check the CRA page for the 2026 return dates. [17]
- ☐ June 15: filing deadline when you or your spouse or common-law partner carried on a business (other than mainly tax-shelter investments). For the 2025 return this was June 15, 2026. Any balance owing is still due April 30. [17]
- ☐ If a due date falls on a weekend or a CRA-recognized public holiday, it moves to the next business day. [17]

Sources (canada.ca)

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2. [Where to keep your records, how long to keep them](#)

<https://www.canada.ca/en/revenue-agency/services/tax/businesses/topics/keeping-records/where-keep-your-records-long-request-permission-destroy-them-early.html>

3. [Motor vehicle records](https://www.canada.ca/en/revenue-agency/services/tax/businesses/topics/sole-proprietorships-partnerships/business-expenses/motor-vehicle-expenses/motor-vehicle-records.html)
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6. [Business expenses](https://www.canada.ca/en/revenue-agency/services/tax/businesses/topics/sole-proprietorships-partnerships/business-expenses.html)
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<https://www.canada.ca/en/revenue-agency/services/tax/businesses/topics/sole-proprietorships-partnerships/report-business-income-expenses/completing-form-t2125/expenses-section-form-t2125.html>
8. [Business-use-of-home expenses](https://www.canada.ca/en/revenue-agency/services/tax/businesses/topics/sole-proprietorships-partnerships/report-business-income-expenses/completing-form-t2125/business-use-home-expenses.html)
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9. [When to register for and start charging the GST/HST](https://www.canada.ca/en/revenue-agency/services/tax/businesses/topics/gst-hst-businesses/when-register-charge.html)
<https://www.canada.ca/en/revenue-agency/services/tax/businesses/topics/gst-hst-businesses/when-register-charge.html>
10. [GST/HST information for taxi operators and commercial ride-sharing drivers](https://www.canada.ca/en/revenue-agency/services/tax/businesses/topics/gst-hst-businesses/charge-collect-specific-situations/taxi-ride-sharing-drivers.html)
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